Question 1

Read the following scenario.

It is May 20X5 and you are the audit senior engaged in the audit of the financial statements of Lovely Lawns Ltd (Lovely Lawns) for the year ending 30 June 20X5 and will be responsible for the initial planning work.

Lovely Lawns specialises in the manufacture of lawnmowers, strimmers and other gardening accessories. The head office and factory are based in Ayrshire. All sales orders are generated by the sales team consisting of four sales representatives and a sales manager. All orders and invoices are processed by the administration team at head office.

Lovely Lawns' main customers are DIY stores and local garden centres. It also makes cash sales over the counter from the small shop attached to the factory. Revenue from the shop accounts for approximately 10% of total revenue. As the business is seasonal, 50% of annual revenue is normally generated in the final quarter of the financial year.

Your audit manager has asked you to undertake planning work for a number of key areas from Lovely Lawns' statement of profit or loss. First, she would like you to calculate an expectation of revenue for the nine months to 31 March 20X5. To assist you with this review she has provided you with an extract of revenue from the management accounts to 31 March 20X5 together with commentary on changes in Lovely Lawns' revenue streams and sales division (Appendix 1).

Secondly, she would like you to perform an analysis suitable for inclusion in the planning analytical review over the results of your review of revenue and the results of audit data analytic routines performed by her over a number of key account balances. These are provided in Appendix 2. Finally, she would like you to plan the audit approach to any audit risks identified as part of your analysis of revenue and other account balances.

Questions:

1. For the nine months to 31 March 20X5, calculate an expectation for total revenue of Lovely Lawns and the deviation, if any, against the actual figure provided by the client.

(8 marks)

2. Evaluate the results of your analysis at Question 1 and the audit data analytic exercise for the purpose of the planning analytical review

(23 marks)

3. Design the overall audit approach for each audit risk identified.

(19 marks)

APPENDIX 1 – Extract of management accounts of Lovely Lawns for the nine months ended 31 March 20X5 and management commentary on changes in revenue lines and sales division

	9 months to 31 March 20X5 Actual £000	Year ended 30 June 20X5 Budget £000	Year ended 30 June 20X4 Actual £000
Revenue			
Sales on credit	2,802	3,800	2,625
Shop	126	300	271
Total revenue	2,928	4,100	2,896

Management commentary on changes in revenue lines and sales division

In December 20X4, Lovely Lawns launched a new type of lawnmower, the 3X. The 3X aerates and feeds the lawn as the grass is being cut. It is designed mainly for the larger lawn to save time by doing the three activities in one. The DIY stores showed enormous interest in this product in the initial stages, with predicted first-quarter sales of 10,000 units. Initial sales have, however, been disappointingly low since its release, achieving only 25% of initial expectations. The directors are confident that sales will escalate once the gardening season gets underway in mid-April. The margins are currently very low on the 3X machine due to low introductory prices (£95, full price £115) however these low prices have been advertised as finishing on 30 April 20X5.

Suppliers are generally reliable and Lovely Lawns has used the same approved suppliers successfully in the previous six years. Suppliers usually increase their prices at the beginning of August and this year the increase was 3%. This increase was passed on directly to the customers through sales price increases. Neither the inflationary price increase, nor the release of the new 3X product have affected sales of other products.

The sales director retired at Christmas and the board has decided that the primary responsibilities of the sales director should be passed onto the sales manager, Jake Turner. In addition to managing the small sales team, he will now be responsible for preparing and presenting the monthly sales report to the board for their review. Jake will attend these meetings to explain fluctuations and plans for the following month. On a quarterly basis, Jake will present the forward plan to the board for its approval. Jake is also responsible for controlling the operation of the monthly inventory counts. Due to work pressures and the implementation of the new computerised inventory system, inventory counts have not been conducted since November 20X4. A year-end inventory count is planned for 30 June 20X5.

APPENDIX 2 – Results of audit data analytical routine: planning analytics

Prepared by Kim Dunbar, audit manager 5 May 20X5

A Objectives of audit data analytic routine

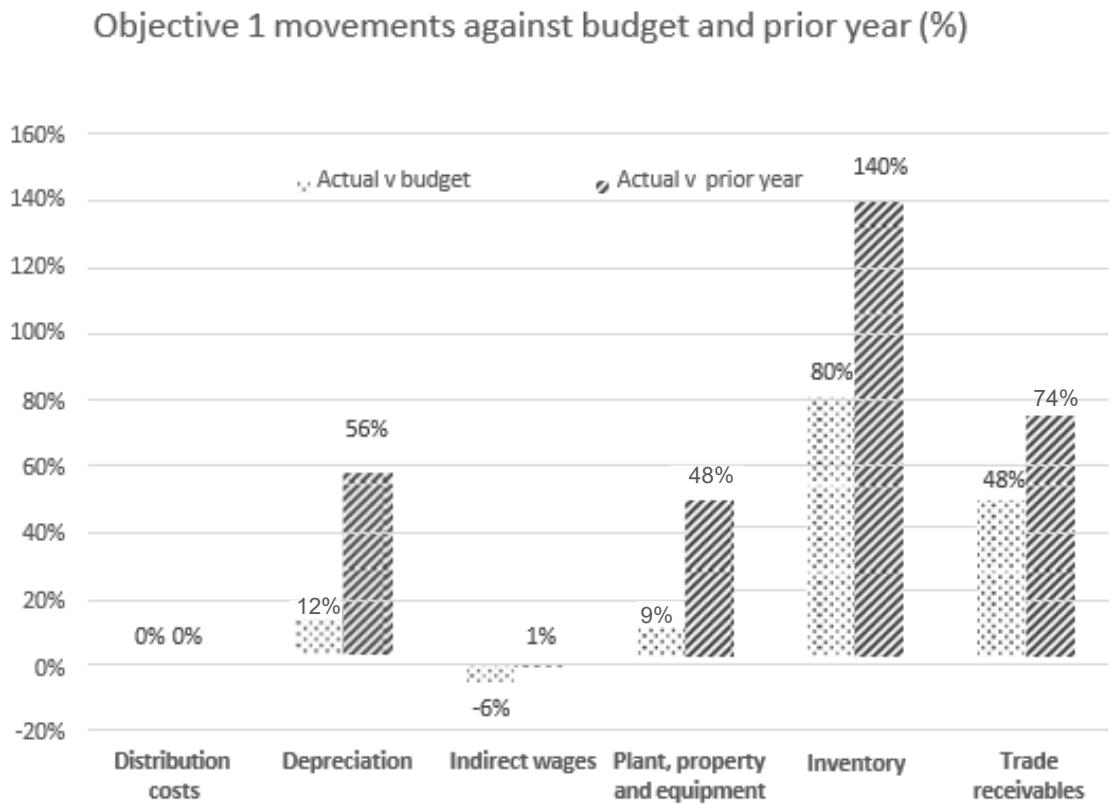
i. Calculate % movements between extrapolated actual for 12 months to 30 June 20X5 or actual as of 31 March 20X5 and budget 12 months to 30 June 20X5 and actual performance prior year to 30 June 20X4 for selected account balances.
ii. Calculate performance ratio: gross profit margin % for nine months to 31 March 20X5, budget 12 months to 30 June 20X5 and prior year to 30 June 20X4.

B Cleansing of input data – completed by K Dunbar 5 May 20X5. No issues to report.

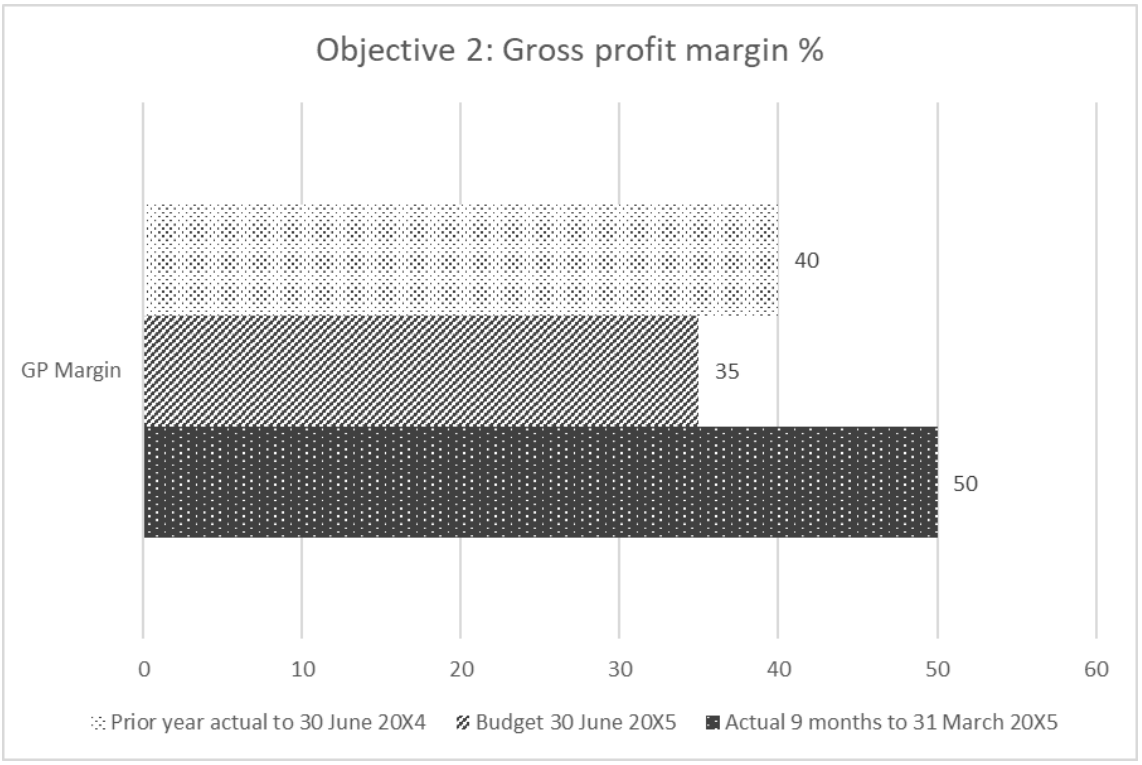
C Completeness and integrity check of input data – completed by K Dunbar 5 May 20X5. No issues to report.

D/E Results and analysis

Output Lovely D.1 – Calculate % movements between extrapolated actual for 12 months to 30 June 20X5 or actual as of 31 March 20X5 and budget 12 months to 30 June 20X5 and actual performance prior year to 30 June 20X4 for selected account balances



Output Lovely D.2 – Calculate performance ratio: gross profit margin % for nine months to 31 March 20X5, budget 12 months to 30 June 20X5 and prior year to 30 June 20X4



Question 2

Read the following scenario.

You are an audit manager at Stevens & Hartson LLP (S&H), a medium-sized firm of accountants. S&H is the newly appointed auditor of You Are Fashion Ltd (YF) for the year ending 31 December 20X6. The acceptance procedures have been completed and you are planning the overall audit approach.

YF trades in the UK. The company imports basic garments from China to its factory in Milan, Italy, and customises these for the British market. These garments are then transported to its warehouse in Birmingham, England, and sold to large department stores and smaller independent boutiques throughout the UK. YF has three sales divisions: womenswear, menswear and childrenswear. These divisions operate autonomously and have responsibility for the entire order fulfilment process from purchasing the raw garments to customisation, through to sales of the finished products.

Your audit partner, Chris Orr, recently held a meeting with Karen Dinwoodie, YF's finance director, to discuss several matters that may impact the audit process. He has provided you with his notes from this meeting (Appendix 1). At this meeting, Chris also gained a better understanding of YF's operations and obtained extracts from YF's monthly management reporting pack for the seven months ended 31 July 20X6 (Appendix 2).

Chris has asked you to prepare information for inclusion in the audit strategy memorandum in which you evaluate the audit risks arising from the information gathered. He would also like you to design the audit approach for each identified risk.

Questions:

Prepare information for inclusion within the audit strategy memorandum in which you

1. Evaluate the audit risks arising from the information gathered

(26 marks)

2. Design the audit approach to address each of the audit risks identified.

(24 marks)

APPENDIX 1 - Notes from the meeting with YF's finance director, Karen Dinwoodie

Company structure and background

The head office and other support functions of YF, including the accounts department, are based in Birmingham, England. YF operates three autonomous divisions: womenswear, menswear, and childrenswear.

The company's production facility is based in Milan, Italy, where basic garments purchased from China are customised for the UK marketplace. All transactions relating to the factory are recorded in euros and translated into sterling for financial reporting purposes.

YF was founded 20 years ago by brothers John and Jim Watson. The company started with one store in Dundee, Scotland, which sold womenswear manufactured in Italy. As the company grew it was decided that the main head office functions and also the distribution warehouse would be situated in Birmingham. However, YF still has a small office in Dundee.

Every six months, the board meets to discuss the garments the company plans to sell during the following spring/summer or autumn/winter seasons. The head of each of the three divisions collates expected sales figures for their respective key customers and feeds these into the six-monthly production plans to allow base-level quantities to be produced. Each month, the head of each division communicates changes to the required production levels to the factory manager in Milan. Both Karen and a non-executive director have expressed concerns about the light-touch approach of the board of directors to supervising and scrutinising the work of the three divisions and the associated risks.

Bank accounts

YF's main bank account is denominated in sterling and is used to pay Chinese suppliers. However, all of the Chinese suppliers invoice in yuan. In an attempt to minimise the company's exposure to fluctuations in yuan/sterling rates, Karen is in the process of entering into a forward contract to purchase5 million yuan (approximately £0.5m) at the end of October. She is also looking to recruit someone to manage all of YF's treasury functions.

There is a bank overdraft facility of £150,000 due for renewal in February 20X7.

The company also has a euro bank account, which is used to pay expenses relating to the Milan factory's employees, utilities and other expenses.

Bank loan

YF has a term loan of £5m which is due for repayment in full at the end of March 20X7. Karen has asked the bank to consider extending the repayment deadline, but no decision has been given to her. There are several covenants attached to the loan. The main one is that an interest cover ratio of 1.75 must be maintained. YF is not allowed to purchase assets over £1m without prior consent from the bank.

Karen is currently in negotiations with several other financial institutions to secure future funding for the business if this term loan is not extended.

VAT investigation

YF had a VAT investigation in July. While the final report has yet to be issued by His Majesty's Revenue and Customs (HMRC), Karen highlighted that HMRC had noted several instances where the incorrect VAT rate had been applied to sales invoices. These issues are related primarily to a failure by YF to charge VAT on some sales of women's clothing. Karen believes that HMRC will deem these to be errors rather than deliberate attempts to avoid paying VAT.

APPENDIX 2 - Extracts from YF's monthly management reporting pack for the seven months ended 31 July 20X6

Key management information is provided in tabular and graphical format so that it is easier for YF's board to understand. YF's statement of profit or loss and statement of financial position are only produced on a quarterlybasis and do not form part of their monthly management reporting pack.

Total sales actual vs. budget

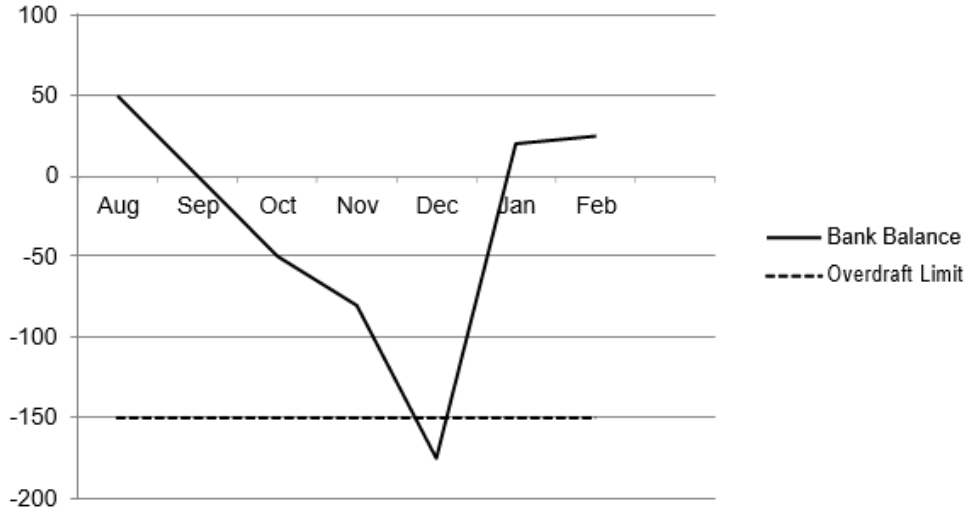
	Actual	Budget	Variance
	£000	*£000*	*£000*
Average month 20X5	2,125	2,000	125
January 20X6	1,777	1,750	27
February 20X6	1,789	1,750	39
March 20X6	1,733	1,750	(17)
April 20X6	1,793	1,800	(7)
May 20X6	1,799	1,850	(51)
June 20X6	1,844	1,800	44
July 20X6	1,080	1,800	(720)
Total year-to-date	11,815	12,500	(685)

Percentage sales by customer

	Customers				
Month	**James Lewisham**	**Frasiers**	**Jennifers**	**Debra Ham**	**Independent Retailers**
20X5 Average	40%	10%	6%	7%	37%
January 20X6	41%	9%	6%	8%	36%
February 20X6	40%	10%	6%	7%	37%
March 20X6	41%	9%	6%	8%	36%
April 20X6	40%	10%	6%	7%	37%
May 20X6	41%	9%	6%	8%	36%
June 20X6	40%	10%	6%	7%	37%
July 20X6	-	17%	10%	13%	60%

1. James Lewisham ceased trading at the end of June 20X6.

Projected monthly cash flows between August 20X6 and February 20X7 (£000)



Key ratios

	20X5 Average Month	Jan 20X6	Feb 20X6	Mar 20X6	Apr 20X6	May 20X6	Jun 20X6	Jul 20X6
Trade receivable days	115	115	120	124	135	140	150	159
Percentage of sales as returns	3.1%	5.1%	2.8%	3.5%	3.4%	3.8%	3.9%	6.1%
Interest cover	2.2	2.1	1.8	1.8	1.8	1.8	1.8	1.8